WAVERLEY GATEWAY GUIDE

Connecting International Capital with Emerging & Frontier Markets

LEBANON

Middle East

Information current as of October 2026

Dialogue | Trust | Partnership

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WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
Beirut	Capital and commercial centre; home to the Port of Beirut, Rafic Hariri International Airport and the headquarters of banks, services firms and the diaspora business network	Financial and professional services, trade, hospitality, technology
Mount Lebanon	Densely populated hinterland of Beirut hosting much of the country's light industry, education and services base	Manufacturing, food processing, education, healthcare
Tripoli and the Tripoli Special Economic Zone (north)	Second city and port, with a dedicated special economic zone offering a base for export-oriented and logistics activity	Logistics, light manufacturing, port services
Bekaa Valley	Lebanon's agricultural heartland and wine region, linking the coast with inland overland routes	Agriculture, agri-food, wine
Sidon and Tyre (south)	Southern coastal cities and ports; the area most affected by the 2026 hostilities and the focus of future reconstruction	Reconstruction, construction materials, fisheries, agriculture
Offshore exclusive economic zone	Exploration acreage including Block 8, awarded to TotalEnergies, Eni and QatarEnergy in January 2026, with a fourth licensing round in preparation	Upstream gas exploration, energy services
Byblos, Batroun and mountain resorts	Heritage coast and mountain destinations underpinning a tourism sector that drives recovery in calmer periods	Tourism, hospitality, real estate

INVESTOR ENTRY ROUTES

- Investment Development Authority of Lebanon (IDAL), the national investment promotion agency, administering incentives under Investment Law No. 360 of 2001
- Law 360 Package Deal Contracts for large projects (up to 100% corporate income tax and dividend tax exemption for up to 10 years, land registration fee exemption) and Investment Project by Zone incentives for SMEs, prioritising less-developed regions
- Tripoli Special Economic Zone, a dedicated zone in the northern port city for export-oriented, logistics and light-industrial investment
- Holding and offshore company regimes, exempt from corporate income tax and dividend withholding tax in return for capped or lump-sum annual taxes, suited to regional management and trading structures

- Banque du Liban (BDL) currency framework: the economy now runs largely on new ('fresh') US dollars, kept separate from deposits frozen since 2019, with BDL Circulars 158 and 166 governing gradual withdrawals from legacy accounts
- Upstream petroleum licensing through the Lebanese Petroleum Administration, with a fourth offshore exploration round being prepared on amended terms
- EU–Lebanon Association Agreement (in force since 2006) and Agadir Agreement membership (since 2020), supporting preferential access for goods produced in Lebanon

MARKET-ENTRY OBSERVATION

Lebanon entered 2026 on a clear recovery path. The World Bank estimates real GDP grew 4.2% in 2025, the strongest since the 2019 financial crisis began, and the government recorded an overall fiscal surplus of 3.9% of GDP thanks to better tax, customs and VAT collection, a gain that continued into the first half of 2026. Foreign direct investment rose 15.7% to $2.04 billion in 2025, according to UNCTAD. The Aoun–Salam government elected in 2025 has advanced key reforms: in August 2026 Parliament passed amendments to the bank resolution law, which the IMF called a "major step", and Finance Minister Yassine Jaber is now seeking a new staff-level agreement with the IMF, with sources indicating it could come by the end of 2026. In January 2026 the government awarded offshore Block 8 to TotalEnergies, Eni and QatarEnergy, renewing upstream interest.

Lebanon's main challenge is completing the resolution of its 2019 financial crisis while recovering from renewed hostilities between Israel and Hezbollah that began on 2 March 2026. A US-brokered ceasefire took effect on 16 April and a US-sponsored framework followed in June, although Israeli forces remain in a self-declared zone in the south and strikes continue; the World Bank now projects a 6.4% contraction in 2026 and inflation of 17.5%. The economy has shown resilience: the Lebanese pound has stayed stable, BDL foreign reserve assets have held at around $11.4–11.7 billion through 2026, and fiscal discipline has been maintained. The sovereign has been in default on its Eurobonds since March 2020, about $30 billion remains outstanding, and the Financial Stabilisation and Depositor Recovery ('financial gap') law, which would allocate losses officially estimated in 2022 at about $70 billion, has yet to pass. Its passage, an IMF programme and a durable security settlement would open the way to debt restructuring and reconstruction, a significant opportunity for well-prepared investors.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
Hezbollah-related terrorism designations and sanctions	Hezbollah is designated a Foreign Terrorist Organization by the US (since 1997) and proscribed in its entirety by the UK (2019); the EU lists its military wing (2013). OFAC added further Hezbollah-linked officials and financing networks in June 2026	Retain sanctions counsel, screen all counterparties and beneficial owners against OFAC, UK and EU lists, and avoid sectors and areas where Hezbollah-linked entities are active
FATF grey list and EU high-risk listing	Lebanon has been under FATF increased monitoring since October 2024 with a ten-point action plan, and is on the EU list of high-risk third countries, so EU and many other banks apply enhanced due diligence	Plan for longer onboarding and documentation; work with internationally connected banks and build strong AML/KYC files to keep payment channels open
Banking-sector restrictions	Deposits held before the 2019 crisis remain largely frozen under informal bank restrictions, and bank restructuring under the amended resolution law is only beginning	Fund projects with new ('fresh') dollars or offshore financing, keep them segregated from legacy accounts and use reputable correspondent and trade-finance channels
Sovereign default and debt restructuring	Eurobonds have been in default since March 2020, with about $30 billion outstanding and no restructuring yet; there is no IMF programme in place	An IMF staff-level agreement and the financial gap law are the gateways to restructuring; specialist investors can position for an eventual settlement
Security in the south and border areas	Hostilities resumed in March 2026; a ceasefire has held since April with US-sponsored talks, but Israeli forces remain in a self-declared zone in the south and strikes continue	Locate operations away from the south, maintain security and insurance planning, and prepare for reconstruction opportunities as a settlement takes hold

Issue	Potential Impact	Possible Mitigation
Contraction and higher inflation in 2026	The World Bank projects GDP to fall 6.4% and inflation to reach 17.5% in 2026, after 4.2% growth in 2025	The economy is largely dollarised and the pound has stayed stable; price contracts in dollars and plan for a rebound once security improves
Pace of legislative reform	Key financial laws have been rewritten several times and can be challenged before the Constitutional Council, which can delay implementation	Track the IMF process and legislation closely, and build legislative timelines and contingencies into investment decisions

INVESTOR RISK NOTE

Investors should treat compliance as the first consideration in Lebanon. Lebanon itself is not subject to comprehensive country-wide sanctions, but Hezbollah is a US-designated Foreign Terrorist Organization, is proscribed in its entirety in the UK, and has its military wing listed by the EU, and OFAC continues to designate Hezbollah-linked officials, companies and financiers, most recently in June 2026. Lebanon's FATF grey-listing and its place on the EU high-risk third-country list mean banks apply enhanced due diligence, while legacy deposits remain frozen and the sovereign has been in default since March 2020. These are manageable with specialist legal and sanctions advice, thorough beneficial-ownership screening, new-money banking arrangements and careful site selection away from the south. Within this framework the direction of travel is encouraging: growth was the strongest since 2019 in 2025, the budget is in surplus, the bank resolution law has been amended with IMF backing, direct US-sponsored talks with Israel are under way and a new IMF agreement is being sought. Investors who build in compliance and security planning now are well placed for reconstruction and recovery.

MARKET ACCESS

Lebanon's EU–Lebanon Association Agreement, in force since 2006, underpins its largest trading relationship: the EU accounted for 32.8% of Lebanon's goods trade in 2025, supplying 37.7% of imports and taking 15% of exports. Lebanon joined the Agadir Agreement with Egypt, Jordan, Morocco and Tunisia in 2020, has signed the Pan-Euro-Mediterranean Convention on rules of origin, and is a member of the Greater Arab Free Trade Area, which gives access to Gulf and wider Arab markets. Lebanon is not yet a WTO member; it has been negotiating accession since 1999. The ports of Beirut and Tripoli and Beirut's international airport connect the country to the eastern Mediterranean, the Gulf and a large global diaspora that remains a key source of demand, capital and trade links.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Office of the President (Joseph Aoun) and Prime Minister's Office (Nawaf Salam)	Set national policy on reform, the IMF process, state authority over arms and the US-sponsored talks with Israel	Primary reference points for Lebanon's strategic direction and reform timetable
Investment Development Authority of Lebanon (IDAL)	National investment promotion agency administering Law 360 incentives	Standard first point of contact for incentives and market-entry guidance
Banque du Liban (Governor Karim Souaid)	Central bank; manages reserves, currency stability and bank-restructuring decisions through its banking commission	Essential for banking, payments and bank-restructuring matters
Ministry of Finance (Yassine Jaber)	Leads IMF negotiations, the budget, the financial gap law and future debt restructuring	Key counterpart for fiscal, tax and sovereign-debt developments
Ministry of Energy and Water (Joseph Saddi) and Lebanese Petroleum Administration	Oversee power-sector reform and offshore licensing, including Block 8 and the planned fourth licensing round	Central for energy, renewables and upstream engagement
Tripoli Special Economic Zone	Authority running the northern special economic zone	Entry point for export-oriented manufacturing and logistics projects
Ministry of Economy and Trade	Manages trade agreements, the EU Association Agreement and WTO	Relevant for market access, trade and consumer-market regulation

Actor	Why It Matters	Waverley Engagement Angle
	accession	

CURRENT INTERNATIONAL BUSINESS CHANNELS

The Chamber of Commerce, Industry and Agriculture of Beirut and Mount Lebanon and its counterparts in Tripoli and other regions are the main business associations, alongside the American Chamber of Commerce in Lebanon and the Association of Banks in Lebanon for banking-sector liaison. IDAL provides investor facilitation and sector information. The IMF, which has a resident representative in Beirut, and the World Bank, whose Lebanon Economic Monitor tracks recovery and reconstruction needs, are central reference points, while EU institutions and Gulf partners are expected to be major sources of reconstruction finance. Lebanon's large and well-connected global diaspora is also a valuable channel for partnerships, market intelligence and co-investment.

INVESTOR PROFILE BEST SUITED

Lebanon best suits investors with strong compliance capability, regional experience and a medium-to-long-term horizon: diaspora and regional investors with local networks; contractors and suppliers positioned for donor- and IMF-supported reconstruction; energy investors in offshore exploration, power and renewables; services, education, healthcare and technology firms drawing on Lebanon's skilled workforce; and hospitality investors ready for tourism's recovery once security improves. Specialist distressed-debt and banking investors may find opportunities in an eventual debt restructuring and bank recapitalisation, subject to rigorous legal and sanctions advice.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Commission sanctions and AML due diligence
Retain legal and sanctions counsel to screen partners and beneficial owners against US, UK and EU lists and to plan for enhanced due diligence linked to the FATF and EU listings.

STEP 2: Set up clean banking and payment channels
Bring in new funds through internationally connected banks, keep them separate from legacy accounts, and agree trade-finance routes before committing capital.

STEP 3: Engage IDAL on Law 360 incentives
Discuss Package Deal or zone-based incentives, or the Tripoli Special Economic Zone, for eligible projects.

STEP 4: Track the IMF agreement and financial gap law
Monitor the staff-level agreement, the financial gap law and bank restructuring, which together will shape banking, debt and reconstruction opportunities.

STEP 5: Position for reconstruction and recovery
Build relationships with ministries, development partners and diaspora networks now, and prepare security-sensitive plans that can scale as the settlement with Israel progresses.